Nykaa (FSN E-Commerce Ventures Ltd): Concall Tracker

Screener ticker NYKAA | BSE 543384 | Quarter folder Q2-2027 | Builds on the Q1-2027 report | Newest call read: Q2 FY27 (4 Nov 2026)

Two questions: (1) Is there a durable earning trigger in the business? (2) Has management been consistent about it over time? This edition continues the Q1-2027 report and deep-reads only the new Q2 FY27 call.

1. Snapshot

What it does: Nykaa is India's largest online-first beauty and fashion retailer. It sells other companies' beauty and fashion products through its app, website and 338 stores; builds and sells its own brands (House of Nykaa: Dot & Key, Kay Beauty, Nykaa Cosmetics and others); imports and distributes global brands (Nykaa Global Store); supplies small shops through a business-to-business arm (Superstore); and runs a fashion marketplace. It earns the margin on goods sold, advertising income from brands, and the richer margin on its own brands.

Measure	Figure	Plain-English read
Market value	~Rs 1,01,000 cr	What the whole company is worth on the stock market (share price ~Rs 353).
Net revenue, Q2 FY27 (Jul–Sep 2026)	Rs 3,006 cr (+28%)	Group sales for the quarter, up 28% on a year ago. A touch slower than Q1's 29%, even though the festive season moved into Q3 this year.
GMV, Q2 FY27	Rs 6,151 cr (+30%)	Full value of everything sold on its platforms before returns and discounts. Up 30%, down from 34% in Q1.
Operating profit (EBITDA = profit before interest, tax, depreciation)	Rs 263 cr (+65%), margin 8.7%	Profit from running the business grew more than twice as fast as sales; margin up about 2 points from 6.7% a year ago and above Q1's 8.5%.
Net profit (PAT)	Rs 101 cr (+207%), margin 3.4%	Bottom-line profit tripled, but still only about 3 rupees per 100 of sales: thin.
Return on capital employed (ROCE)	27.3% (H1 FY27)	Profit earned on money tied up in the business; was about 6% three years ago (management figure).
Operating cash flow, H1 FY27	Negative	Cash went out, not in, because stock was built up for the festive sale that falls in Q3. Management says it normalises by end-Q3.
Valuation	Very high	Screener P/E ~305 (standalone parent, not meaningful). Either way, the price assumes many years of fast profit growth.

Operating figures are consolidated, as stated by management on the Q2 FY27 call.

2. Concall coverage

Quarter(s)	Date	Transcript read?
Q4 FY22 → Q4 FY26 (17 calls)	May 2022 – May 2026	Carried forward from earlier reports
Q1 FY27 (prior boundary call)	4 Aug 2026	Carried forward from the Q1-2027 report
Q2 FY27	4 Nov 2026	Newly deep-read in full ★

Only the Q2 FY27 call was read in full this quarter; the four-year backstory comes from the prior reports.

★ Latest concall highlights: Q2 FY27 (call held 4 Nov 2026)

- **Profit again ran far ahead of sales.** Revenue +28%, EBITDA +65%, PAT +207%. Read: the margin story held for another quarter, without help from Diwali, which shifted into Q3.
- **Beauty crossed a 10% operating margin for the first time** (10.5% vs 9.0% a year ago) on +28% net sales; store like-for-like growth was in the early 20s%, its best in six quarters. Read: the core business is getting richer, not just bigger.
- **Fashion profitable for a third straight quarter** (+0.2% margin vs –3.5% a year ago) on +47% net sales, with new-customer cost down 30%. Growth eased from 54% in Q1. Long-term goal restated: high single-digit margin by FY30, 10%+ later, and "not next year for sure".
- **Another brand bought and a new tie-up.** 82% of Simply Nam, a premium makeup brand by celebrity makeup artist Namrata Soni, for Rs 33 cr (FY26 revenue Rs 17 cr; closes Q3). A partnership with L'Oréal (BOLD) to invest in young Indian beauty brands. Nykaa Fashion Luxe launched with Prada, Fendi, Valentino and others.
- **Tone:** confident but careful. Refused to call the festive quarter ("pre-festive was strong"), reiterated a ~600-store goal, and was vague on whether the marketplace KPI table will keep being published.

Business mix & capacity

Domestic vs export: essentially all sales are in India; overseas is small (Kay Beauty in the UK, a Gulf joint venture). No split given. Read: a pure India-consumption business.

Capacity: asset-light retailer, no factories, so no utilisation figure. 338 stores in 111 cities (14 added this quarter, ~73 in a year), heading for ~600 over the next few years; capex ~1% of revenue. Read: it grows without heavy fixed investment.

★ Since our last report: builds on the Q1-2027 report (boundary call 4 Aug 2026). Prior verdicts: trigger YES, consistency YES.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Profit inflection: profit growing far faster than sales	EBITDA +65% on revenue +28%; margin 8.7% vs 6.7%; beauty margin above 10%	Confirmed
Consistency: YES	Same story for four years; long-term goals restated	Same pillars, same long-term fashion margin goal; no new pitch	Confirmed
Promise: both beauty and fashion speeding up; long-term goals reaffirmed	Q1: beauty +29%, fashion +54%	Q2: beauty +28%, fashion +47%. Faster than a year ago (27% / 27%) but a shade slower than Q1. Goals restated.	Partly
Watch: fashion growth cooling once the Nike boost is in the base	Nike enters the comparison base from late FY27	Fashion still +47% and profitable; growth credited to wide assortment, not just H&M and Nike. The real test is still ahead.	On-track
Superstore 35%+ growth path	+28% in Q1, blamed on GST price reset	+28% again, "slightly lagging"; GST effect laps from Q3	Slipping

Checkpoint results: Partly | Delivered

(1) Partly: both verticals grew faster than a year ago and goals were restated, but neither sped up versus Q1. (2) Delivered: fashion held up strongly this quarter; the Nike base effect is not due until late FY27.

Verdict change this quarter: both verdicts unchanged. The profit story held again; the small flags are cash tied up in festive stock and a possibly thinner KPI disclosure.

3. Earning-trigger thesis

> The trigger is still the profit inflection. Sales are growing in the high 20s% and the higher-margin pieces (own brands, ad income, and a fashion arm that now makes money) keep lifting group margin. This quarter beauty passed a 10% margin for the first time and the group did it without the festive sale, which moved into Q3. Watch-points: growth eased slightly from Q1, Superstore keeps trailing its plan, and fashion still has to lap the Nike boost from late FY27.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Operating leverage	Scale, AI-led marketing efficiency and overhead absorption let profit grow faster than sales	EBITDA margin 8.7% vs 6.7%; marketing cost -50bps, overheads -87bps of revenue	Now	Strong	↑ improving: margin up again
Owned brands (House of Nykaa)	Build real brands, ladder makeup by price	NSV +36%, ~Rs 2,300 cr annualised; Dot & Key ~Rs 1,300 cr; Simply Nam bought	Multi-year	Strong	unchanged
Fashion profitability	Lower acquisition cost and scale; high single-digit margin by FY30	Third profitable quarter; marketing cost ~350bps lower	Now / FY30	Moderate	↑ improving: three in a row
Global Store distribution	Go-to-market partner for foreign brands	45+ brands growing 60%+; runs Kiehl's and Charlotte Tilbury stores and sites	Multi-year	Moderate	new
Superstore (B2B)	35%+ growth path to FY30	+28% NSV; EBITDA +370bps; same sales headcount	2–4 yrs	Moderate	unchanged: still under plan

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not discussed.
New business	Yes	"acquisition of an 82% stake in Simply Nam"; L'Oréal BOLD partnership; Nykaa Fashion Luxe launch (4 Nov 2026)
Margin up	Yes	"EBITDA margin expanding by 196 basis points to 8.7%"; beauty "crossed 10% EBITDA margin for the first time" (4 Nov 2026)
New management	No	None.
New capacity	Yes	"14 new stores were added in the quarter"; "we will go to about 600 stores over the next few years" (4 Nov 2026)
Big orders	No	Not applicable (retailer).
Turnaround	No	Fashion turned profitable two quarters before this one; now a repeat, not a fresh turnaround.
Promoter buying	No	Not discussed.

Single concrete driver: profit growing far faster than sales as own brands, ad income and a now-profitable fashion arm lift margins on an asset-light base.

3c. Margin bridge

Group EBITDA margin is 8.7% against 6.7% a year ago. Gross margin rose ~1 point from a bigger share of House of Nykaa brands and more marketing income; marketing and overhead costs fell as a share of sales; fulfilment cost rose slightly from new warehouses. Management frames it as scale and efficiency, which keeps building. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY22–FY23	Diversify beyond beauty; margins to expand once investment ends	Verticals scaled, but profit fell while spending stayed high	Partly
FY24	Fashion losses to shrink; owned brands to scale	Both on track	Delivered
FY25	Fashion "well on its path"	Fashion stumbled; management admitted it	Partly
FY26	Fashion to breakeven; record margins	Fashion positive in Q4; record margins	Delivered
Q1 FY27	Keep fashion profitable; keep margins expanding	Both done	Delivered
Q2 FY27 (new)	Same: fashion profitable, margins up, owned brands scaling	Fashion profitable a third time; group margin 8.7%; House of Nykaa +36%	Delivered
Superstore	35%+ growth path; GST effect to lap from Q3	+28% again; Q3 is the test	Too-early
Across period	(Investor ask) hard near-term margin guidance	Still gives only long-range goals	Dropped

Narrative drift: none. The same "beauty funds diversification, scale turns into margin" story, backed by the numbers again. The Simply Nam buy fits the stated plan of laddering makeup brands by price. Two small things to note: the founder pushed back on pulling the fashion margin goal forward ("it's not next year for sure"), which is honest; and management was evasive on whether the marketplace order-volume table will keep being published.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Nothing moved it down. Profit again grew more than twice as fast as sales, beauty set a margin record and fashion stayed in the black, all in a quarter without the festive sale. The risks are the price, Superstore's lag, and fashion lapping the Nike boost from late FY27.

Management consistent? → YES vs last quarter: unchanged

Same goals, same delivery. Superstore still trails its stated path and near-term guidance is still avoided; a thinner KPI disclosure would be a step back if it sticks.

6. Checkpoints for next quarter

- Fashion stays profitable for a fourth straight quarter
- Superstore sales growth picks up once the GST base effect laps in Q3
- Festive stock build unwinds and operating cash flow turns positive by end-Q3

Sources: Nykaa Q2 FY27 earnings-call transcript (4 Nov 2026, filed with NSE/BSE 6 Nov 2026); backstory from the Q1-2027 and Q4-2026 Concall Tracker reports; journal snapshot for market value. Not investment advice. Do your own due diligence.